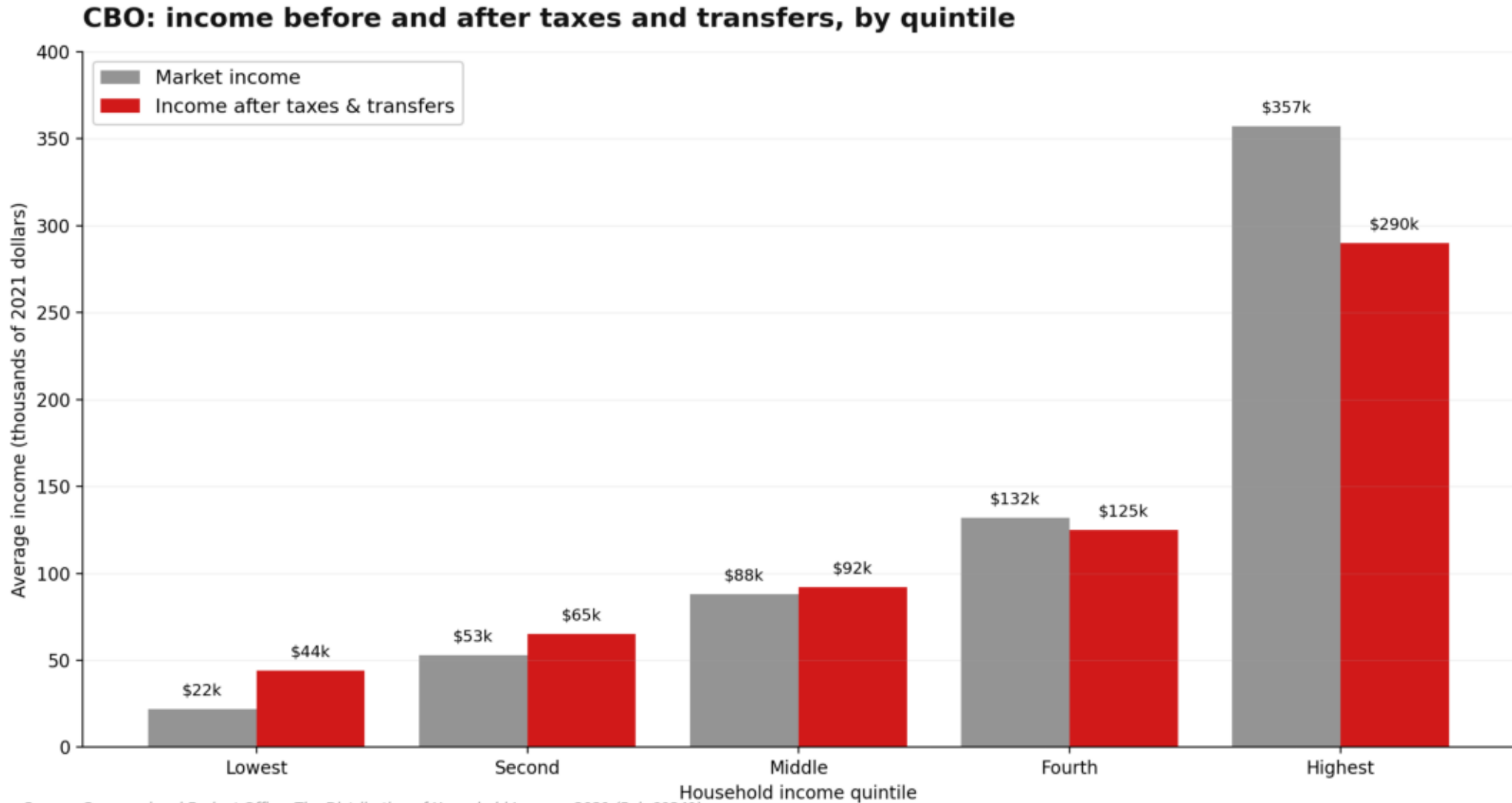


Class 22

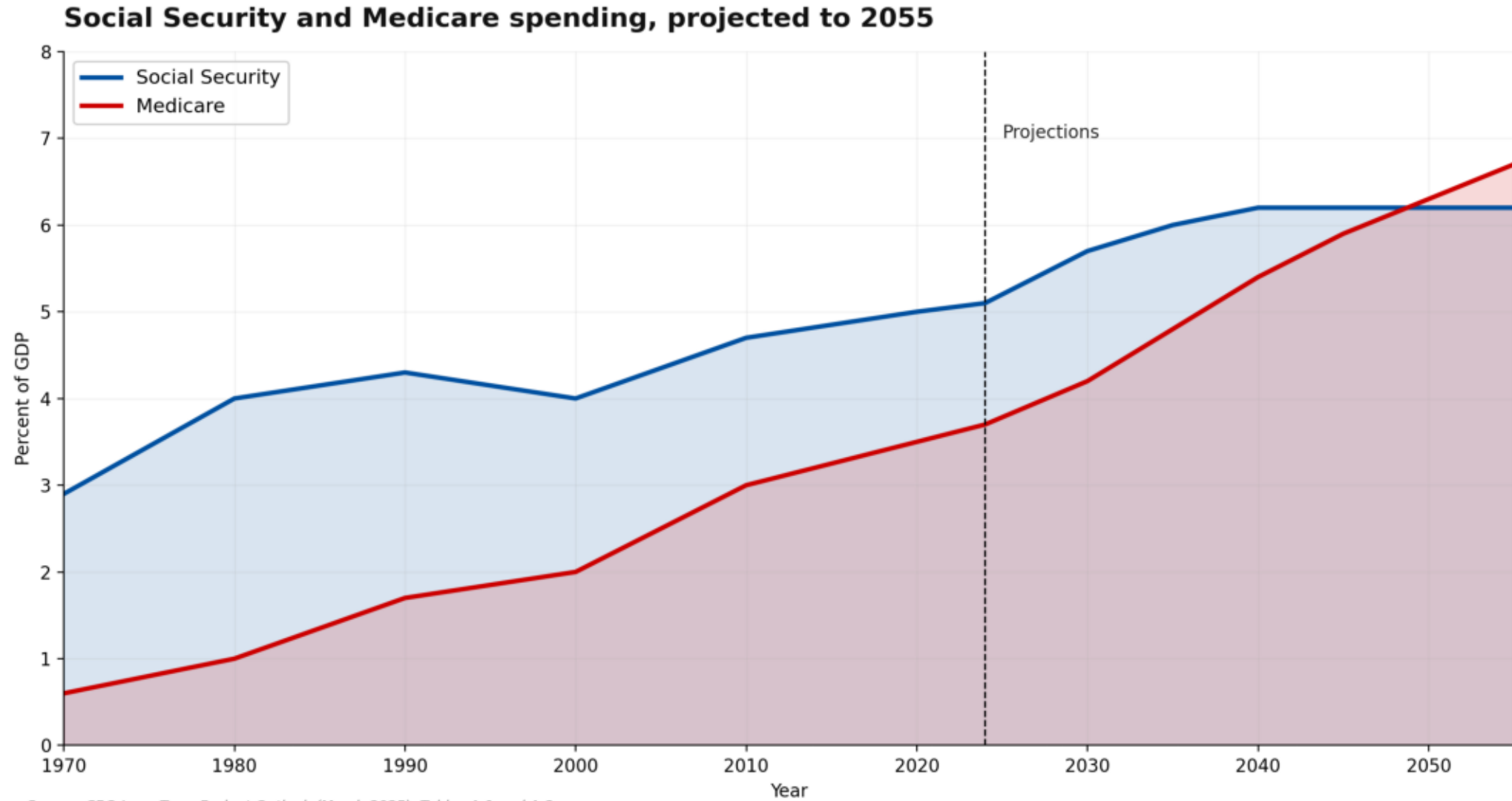
Fiscal Capacity: Taxes, Insurance, and Debt

Part IV — Governing Capitalism's Consequences

CBO: income before and after taxes and transfers

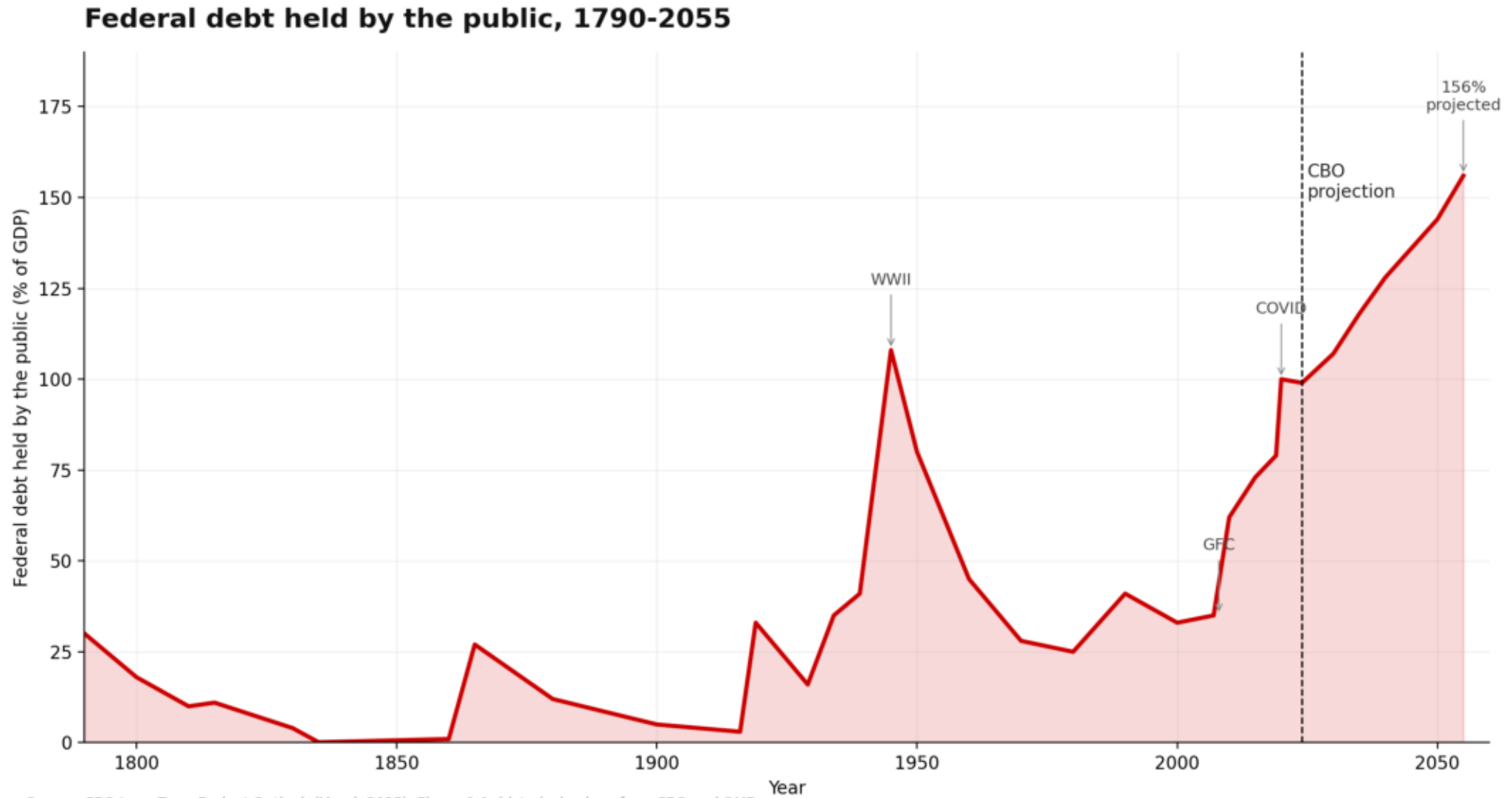


Social Security and Medicare spending, projected



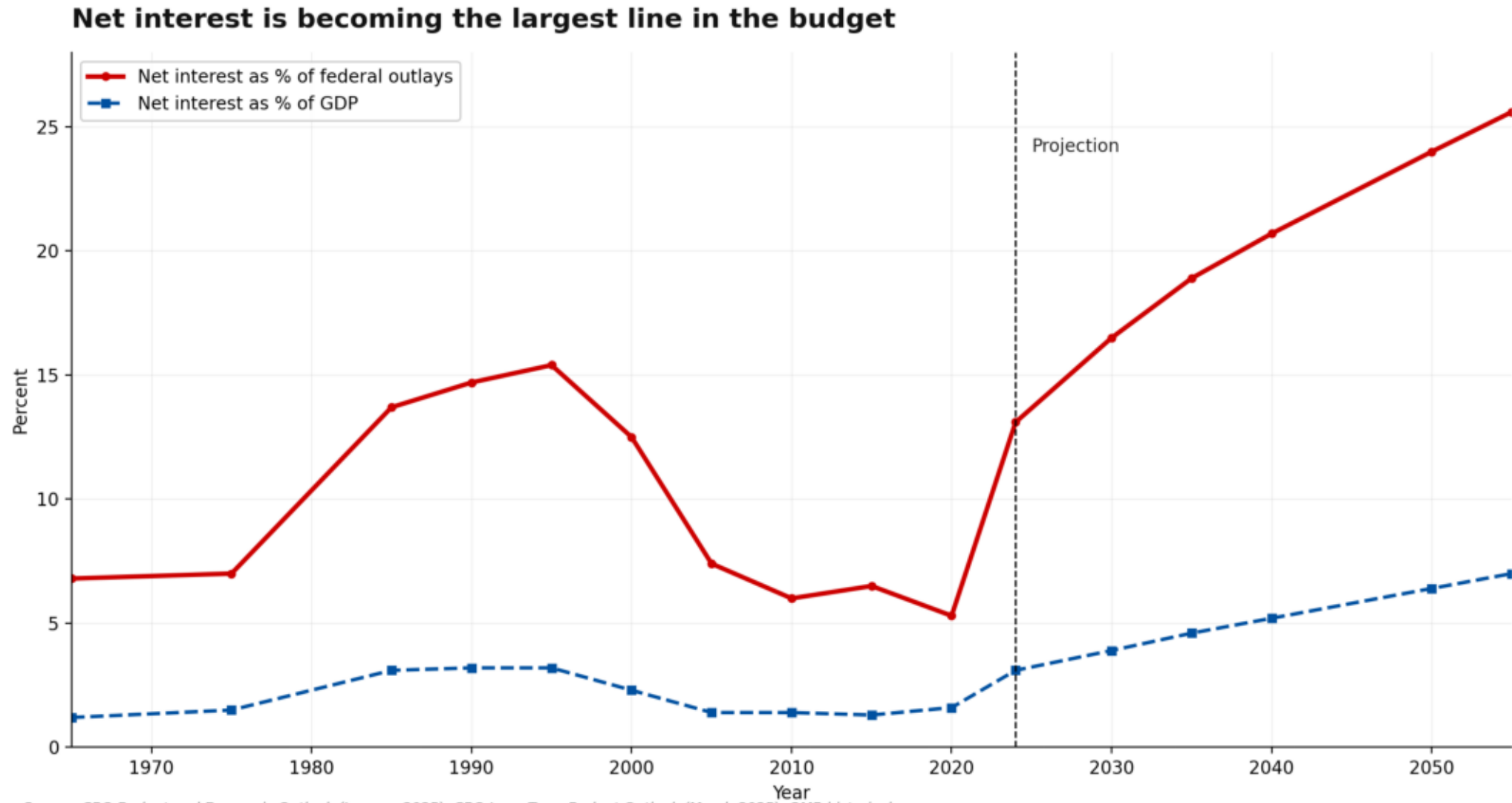
Source: CBO Long-Term Budget Outlook (March 2025), Tables A-1 and A-2.

Federal debt held by the public, 1790-2055



Source: Congressional Budget Office, Long-Term Budget Outlook (2025). Projected to reach 156% of GDP by 2055.

Net interest is becoming the largest line in the federal budget



Source: CBO Budget and Economic Outlook (January 2025); CBO Long-Term Budget Outlook (March 2025); OMB historical.